

SEQUOIA CAPITAL ANALYSIS • SEPTEMBER 2023

Generative AI's Act Two

FROM TECHNOLOGY HAMMER TO REAL VALUE

The next phase shifts from novelty demos to end-to-end solutions that solve real human problems.

For venture investors and founders

FOUNDATION

Six decades of technological progress converged to enable generative AI

6**Decades of Moore's Law**

Delivered the compute horsepower to process exaflops of data.

4**Decades of the internet**

Accelerated by COVID, produced trillions of tokens of training data.

2**Decades of mobile + cloud**

Put a supercomputer in every human's palm.

COMMERCIAL TRACTION

GenAI startups surpassed \$1B revenue faster than SaaS ever did

The milestone took SaaS years, not months, to reach — evidence of real demand despite hype-cycle skepticism.

Category milestone

>\$1B

Revenue from generative AI startups alone.

Standout examples

ChatGPT · Midjourney · Character.ai

Fastest-growing application in history; hundreds of millions in revenue with 11 people; 2-hour average session time.

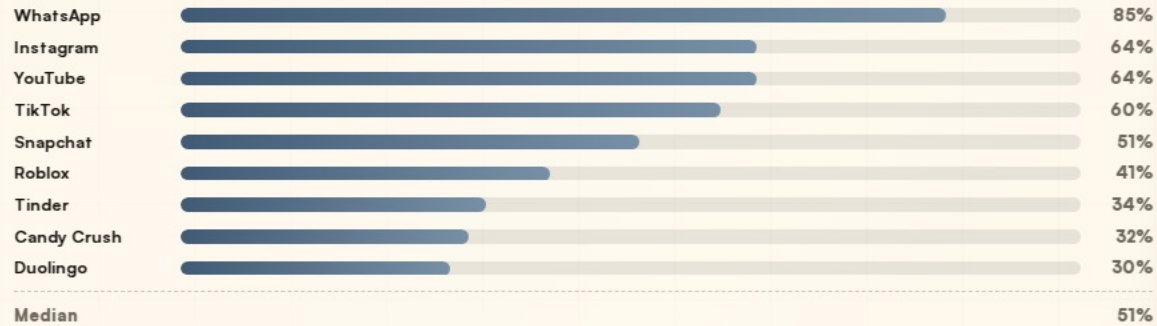
RETENTION GAP

AI-first apps show 14% median retention vs. 51% for incumbents

3.6x disadvantage: AI-first products have commercial pull, but mobile retention data reveals a stark gap in durable usage.

Incumbents

Mobile app retention

51%

AI-first companies

Mobile app retention

14%

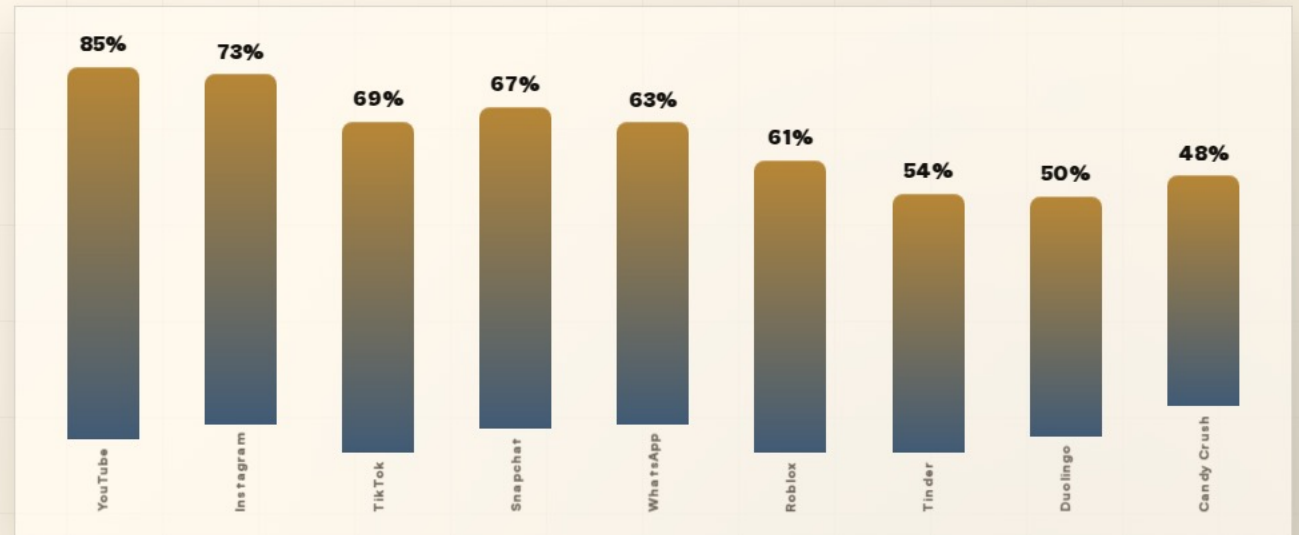
ENGAGEMENT BENCHMARK

YouTube leads incumbents at 85% monthly active usage

A separate incumbent benchmark sets the usage bar AI applications must clear.

Median monthly active usage

63%



MARKET TRANSITION

Act 1 was technology-out; Act 2 is customer-back

Act 1 • Technology-out

Foundation model as the product

- **New “hammer”** looking for use cases
- **Novelty apps** and lightweight demonstrations
- **Thin wrappers** around cool technology
- **Poor stickiness** and weak retention

Act 2 • Customer-back

Foundation model as one component

- **End-to-end** human problem solving
- **New editing interfaces** that improve outputs
- **Multi-modal workflows** integrated into context
- **Comprehensive solutions**, not thin wrappers

Harvey

Glean

Character

Ava

MARKET MAP EVOLUTION

Market map reorganized by use case, not model modality

Act1 lens

Text

Image

Code

Model modality



Technology hammer first; application second.

Act2 lens

Legal

Harvey

Enterprise search

Glean

Companionship

Character • Ava

Use-case organization mirrors the broader shift toward actual value delivery and multi-modal applications.

IMPLICATIONS

Key takeaways: what separates winners in Act Two

01**Retention is the critical challenge**

AI-first apps show 14% median retention vs. 51% for incumbents.

02**Models are components**

Foundation models should be a piece of the solution, not the whole product.

03**Workflows win**

Multi-modal, workflow-integrated solutions are the Act 2 pattern.

04**Demand is real**

The >\$1B revenue milestone proves demand exists despite hype cycles.

05**Solve human problems**

End-to-end human problem solving defines the customer-back phase.